



Ultra Sound Money

Ethereum's Supply Dynamics & Monetary Thesis

CURRENT SUPPLY

121,603,980 ETH

BASE GAS

0.1 Gwei

ETH PRICE

\$2,243

Data: ultrasound.money

Gas at Historic Lows: Burn Suppressed

Low Gas = Low Burn = Temporary Inflation — EIP-1559 Needs Higher Activity



7-DAY GAS MARKET



AVG BASE GAS

0.1 Gwei

Historic low

BLOB GAS AVG

7.1M wei

EIP-4844

BLOB FEE BURN

0.15 ETH

\$319 / 7 days

EQUILIBRIUM

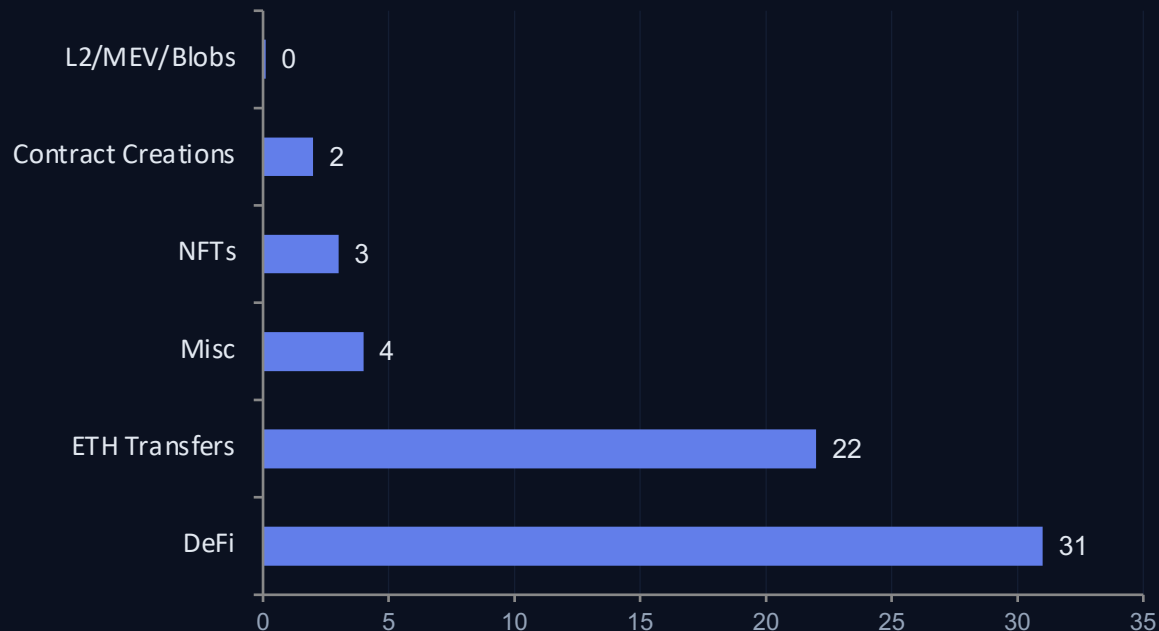
22 Gwei

For net-zero supply

The burn mechanism works — it just needs on-chain activity to return to the 22 Gwei equilibrium.

DeFi & ETH Transfers: 85% of Fee Burn

7-Day Burn Category Breakdown — Total: ~192 ETH



TOP BURNERS

ETH Transfers

21.74 ETH

Tether USDT

13.55 ETH

Recent blocks (24,850,874–24,850,879): 0.00–0.01 ETH burn/block. 7-day record: 0.07 ETH in a single block.



38.9M ETH Staked at ~2.9% APR

Validator Rewards Dominated by Protocol Issuance — Minimal Tips and MEV

ETH STAKED

38.9M

~32% of supply

SCARCITY LOCK

9.1M ETH

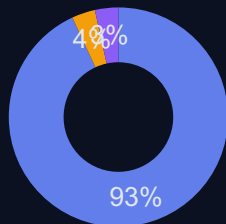
Avg 10.7 years

TOTAL APR

~2.9%

For validators

Validator Reward Composition



■ Issuance (2.7%) ■ Tips (0.1%) ■ MEV (0.1%)

DAILY ECONOMICS

PoS Issuance: ~2,800 ETH/day

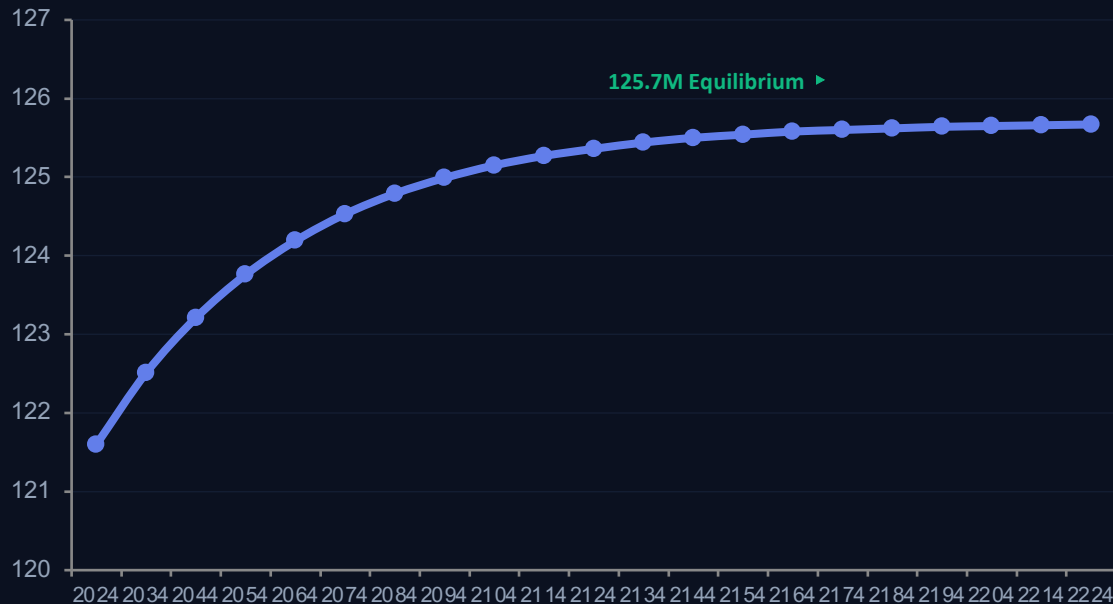
Fee Burn (normalized): ~2,200 ETH/day

At 22 Gwei equilibrium gas, burn nearly offsets issuance. Current 0.1 Gwei is far below this threshold.



Long-Term Equilibrium: 125.7M ETH

200-Year Supply Projection — Issuance and Burn Converge at ~1,037K ETH/Year



MODEL PARAMETERS

ETH Staked

39M ETH

Avg Base Gas

22 Gwei

Equilibrium Supply

125.7M ETH

Annual Balance

~1,037K ETH

Staker Rewards

2.7%/yr

Non-staker Burn

1.2%/yr

Eras: Genesis (5 ETH/blk) → Byzantium (3) → Constantinople (2) → Phase 0 → London Burn → Merge

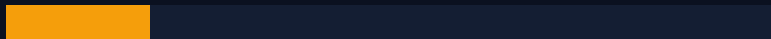


18.7% of Bitcoin's Market Cap

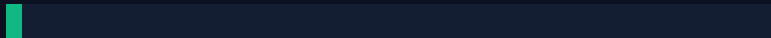
\$307.6B Total Value Secured — Growing but Still Early Monetary Premium

FLIPPING PROGRESS

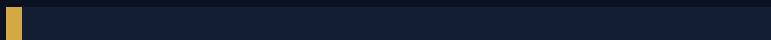
vs Bitcoin **18.7%**



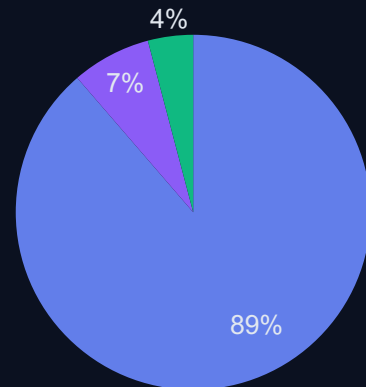
vs USD **1.3%**



vs Gold **0.89%**



Total Value Secured: \$307.6B



■ ETH (\$272.76B) ■ ERC20s (\$22.21B) ■ NFTs (\$12.66B)

TOP ERC20s BY VALUE

Dai \$4.41B • Shiba Inu \$3.51B
Cronos \$2.97B • Tether Gold \$2.65B

TOP NFT COLLECTIONS

CryptoPunks \$2.13B • BAYC \$0.68B
ENS \$0.63B • Pudgy Penguins \$0.51B

Key Takeaways

Ultra Sound Money Thesis Intact — Gas Activity Is the Critical Variable

01

Mildly Inflationary Today

+0.83%/yr due to historically low gas (0.1 Gwei). Burns offset only ~1% of issuance.

02

Burn Mechanism Works

EIP-1559 requires sustained on-chain activity. DeFi and transfers drive 85% of burn.

03

Significant Supply Lock

38.9M ETH (32%) staked. 9.1M ETH locked avg 10.7 years. Validators earn ~2.9% APR.

04

Structural Equilibrium

125.7M ETH long-term target at 22 Gwei avg gas. Issuance-burn balance at ~1,037K ETH/yr.

05

Growing Monetary Premium

\$307B+ TVS, 18.7% of Bitcoin's market cap. Early but demonstrating real value capture.

The ultra sound money thesis depends on gas activity recovery — monitor base gas trends as the leading indicator.